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The SaaS Apocalypse: AI Agents, Vibe Coding, and the Changing Economics of SaaS

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Over the past few months, a new phrase has been circulating across tech, venture capital, and public markets:

” *“The SaaS Apocalypse.”*

The narrative is straightforward, and a bit alarming for SaaS operators. What’s real and what’s clickbait?

We know this. AI agents are improving rapidly. Coding tools can generate entire applications. AI can automate workflows once performed inside SaaS products.

If software can now be generated on demand, the logic goes: why pay recurring subscriptions for SaaS at all?

The result has been a wave of fear across the software industry. Software stocks have sold off sharply, with billions in market value evaporated, as investors question assumptions that have been held for two decades.[1]

But before declaring the death of SaaS, let's step back and pause. The reality is far more nuanced, and we are still in the very early innings.

SaaS isn't dying. But the economics, pricing models, and defensibility of software are being challenged in ways we haven't seen since the shift from on-premise software to the cloud.

For founders, CEOs, and CFOs, understanding what's changing and what isn't is now a strategic imperative. The goal of this post is to level set the current thinking on the SaaSocalypse, a case for and against.

Download this post, my AI Matrix, and AI Defensibility Scorecard.

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What Started the SaaSocalypse

The SaaSocalypse didn't start with a recession or a major SaaS failure. It started with AI product launches.

In January 2026, several major announcements, particularly Anthropic's release of Claude Cework and Claude Code, tools designed to build software and automate workflows through AI agents, triggered a sharp reaction in public software markets.[5]

Investors began asking a simple but unsettling question: if AI agents can perform many of the workflows SaaS tools were designed to support, what happens to the SaaS business model?

The reaction was immediate. Roughly \$300 billion in market value evaporated across software companies in a single trading session.[1] Several forces collided at once.

1. The build vs. buy decision is shifting

Historically, building custom enterprise software was expensive and slow. Buying SaaS was the obvious choice. AI coding agents like Claude Code have dramatically reduced the cost and time required to build software, blurring that distinction for the first time.[2] I've been using Replit to build softwaremetrics.ai, and it's been an eye-opening experience.

We saw the early signal in late 2024, when Klarna replaced Salesforce CRM with an internally developed AI system. It was one of the first high-profile examples of a major company choosing build over buy. Investors took note.[2]

2. AI agents can now execute workflows

Modern AI systems can perform tasks that previously required humans working inside SaaS applications: research, analysis, report generation, reconciliation, and customer service workflows can now be executed autonomously by AI agents across systems.[1]

Historically, SaaS products acted as the primary interface for work. AI agents may increasingly become that interface, making the underlying application less visible, and potentially less essential.

3. Seat-based pricing is structurally exposed

Many SaaS products charge per employee seat or a derivative of seat pricing. But AI agents introduce a new dynamic: if one agent can replace the work of several employees, companies may need far fewer seats, potentially undermining the core SaaS revenue model.[2]

For decades, SaaS expansion revenue was driven by headcount growth. AI introduces the possibility of the opposite: a customer can stay on your platform but quietly shrink their seat count as agents replace the employees who used to need licenses.

4. Investors repriced the durability of SaaS growth

For two decades, SaaS has been one of the most attractive business models in technology: predictable recurring revenue, high gross margins, often high switching costs, and expansion revenue from seat growth and module add-ons.

AI introduces uncertainty around all four. Public markets reacted accordingly. The average forward earnings multiple for software companies fell from roughly 39x to about 21x within just a few months.[1]

The Bear Case: Why Some Believe SaaS Is in Trouble

The most pessimistic version of the SaaS apocalypse argument focuses on three structural shifts.

1. AI agents become the interface to work

Instead of navigating SaaS applications, users may simply instruct an AI agent:

“Prepare a weekly project report and identify risks.”

The agent gathers data across systems, generates the report, and assigns tasks. If the agent becomes the interface, SaaS applications risk becoming infrastructure rather than products, useful but invisible and priced accordingly.[7]

2. AI dramatically lowers barriers to entry

AI makes software easier and cheaper to build. Instead of competing with a few large vendors, SaaS companies may soon compete with thousands of micro-products built by AI. Some industry leaders describe this as:

” *“Not one shark, but thousands of piranhas.”*[6]

Each small tool may replace a narrow feature previously provided by a SaaS platform. Over time, enough of those feature slices could hollow out entire products.

Personally, I’m a bit skeptical about this one. WordPress made it easy to launch a blog on the cheap. Did everyone have their own blog? No.

3. Pricing models may need to change

The traditional SaaS model relies on seat-based/module pricing, fixed subscriptions, expansion revenue, and maybe some usage revenue. But AI companies are experimenting with usage pricing, consumption pricing, and outcome-based pricing. If software shifts toward AI-driven execution, revenue may move away from licenses and toward outcomes, compressing margins and reducing predictability.



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The Bull Case: Why SaaS Isn't Going Away

Despite the noise, many industry leaders believe the SaaSpocalypse narrative is overstated. Even Salesforce CEO Marc Benioff dismissed the panic during an earnings call, noting the industry has survived similar disruption fears before.[3]

Several structural realities support the resilience of SaaS.

1. Enterprise software is far more than code

AI can generate code. But enterprise software includes compliance infrastructure, security, governance, audit trails, integrations, and reliability guarantees that often take years to build and are deeply embedded in enterprise operations.[8]

2. Data moats remain powerful

Many SaaS companies have accumulated years of proprietary customer data that improves the product itself. AI agents without access to that context are far less valuable. This is perhaps the most durable competitive advantage in software — and AI actually increases its value.[8]

3. Switching costs remain high

Replacing enterprise software is rarely simple. CRM, HR, security, and financial systems are deeply embedded in companies. Even if AI can replicate some functionality, replacing these systems requires major operational change, retraining, and risk tolerance that most enterprises don't have.[8]

4. Operating SaaS is still extremely hard

Rob Walling, founder of MicroConf, TinySeed, and the bootstrapped SaaS platform Drip, makes an important point: AI tools may make it easier to generate code, but building a product people will actually pay for month after month remains extremely difficult.[9]

SaaS products are never finished. They require continuous development, churn management, infrastructure maintenance, and competitive differentiation. More importantly, the economics of churn are unforgiving: unlike a course or digital product where a customer can simply stop using it without canceling, SaaS customers who stop finding value cancel. That creates constant pressure on product quality and retention that no AI coding tool eliminates.

Enterprise SaaS vs. Vibe-Coded Software

One of the most important and overlooked dimensions of the SaaS apocalypse debate is the difference between enterprise SaaS platforms and internally built software created using AI coding tools. The industry calls this “vibe coding.”

Enterprise SaaS

Enterprise SaaS platforms like Salesforce, ServiceNow, Workday, and HubSpot serve thousands of customers and support mission-critical operations. They must support enterprise security, compliance requirements, integrations across dozens of systems, and reliability guarantees. Replacing these systems is difficult even if AI can replicate some functionality.

Vibe-Coded Internal Software

AI coding tools allow companies to build custom internal tools much faster than before. Some organizations are even using open-source frameworks such as Block's Goose platform to coordinate their own AI agents rather than purchasing SaaS products.[6]

But these tools often lack the reliability and infrastructure of enterprise software. As Fabien Cros, Chief Data and AI officer at consulting firm Ducker Carlisle, explains:

” “It’s very easy to build something that is shiny... but those things don’t run properly. They are vibe-coded. They are not on a proper IT infrastructure. They are not secure.[6]”

The implication: AI may make it easier to build software, but operating secure, reliable software systems at scale remains genuinely difficult — especially for any tool that needs to serve external customers.

The Financial Framework: What CFOs Should Model

The SaaS apocalypse isn't just a narrative to follow. It's a set of financial risks to quantify. Here's how I'd think about your exposure across four key metrics.

Net Revenue Retention (NRR)

NRR is the crown jewel of SaaS metrics. And it's been built on one assumption: headcount grows, seats grow, the company's revenue grows, NRR stays above 100%.

That assumption is now fragile. Run two stress tests right now:

- Flat headcount scenario: what does NRR look like if your customers add zero net seats this year? Or similar pricing metric? And yet their revenue continues to grow.
- Agent substitution scenario: if 10–20% of the employees using your product are replaced by AI agents over 24 months, what does that do to your seat count and revenue base?

If your NRR depends heavily on seat expansion, you are more exposed than your current numbers suggest. Companies with NRR driven by product depth or usage volume have a much better story. GRR is also at play here.

Gross Margin Pressure

Traditional SaaS gross margins run 70–80%. AI changes that math.

The moment you start embedding AI capabilities into your product, you're adding variable compute costs that scale with usage, not headcount. That's a fundamentally different cost structure. And unlike payroll, inference costs are hard to predict at 5x or 10x current usage.

Three questions to answer now:

- What is your cost per AI-assisted workflow today?
- What does that look like at 5x usage?
- At what point does your margin profile start to look more like infrastructure than software?

Check out my AI Math vs. SaaS Math post for more on this.

(<https://www.thesaascfo.com/the-real-economics-of-saas-versus-ai-companies/>) You must understand how AI companies scale.

Contract Renewal Risk

Here's the dynamic that's easy to miss. Your customers don't need to actually build an alternative to change the negotiation. They just need to credibly threaten it.

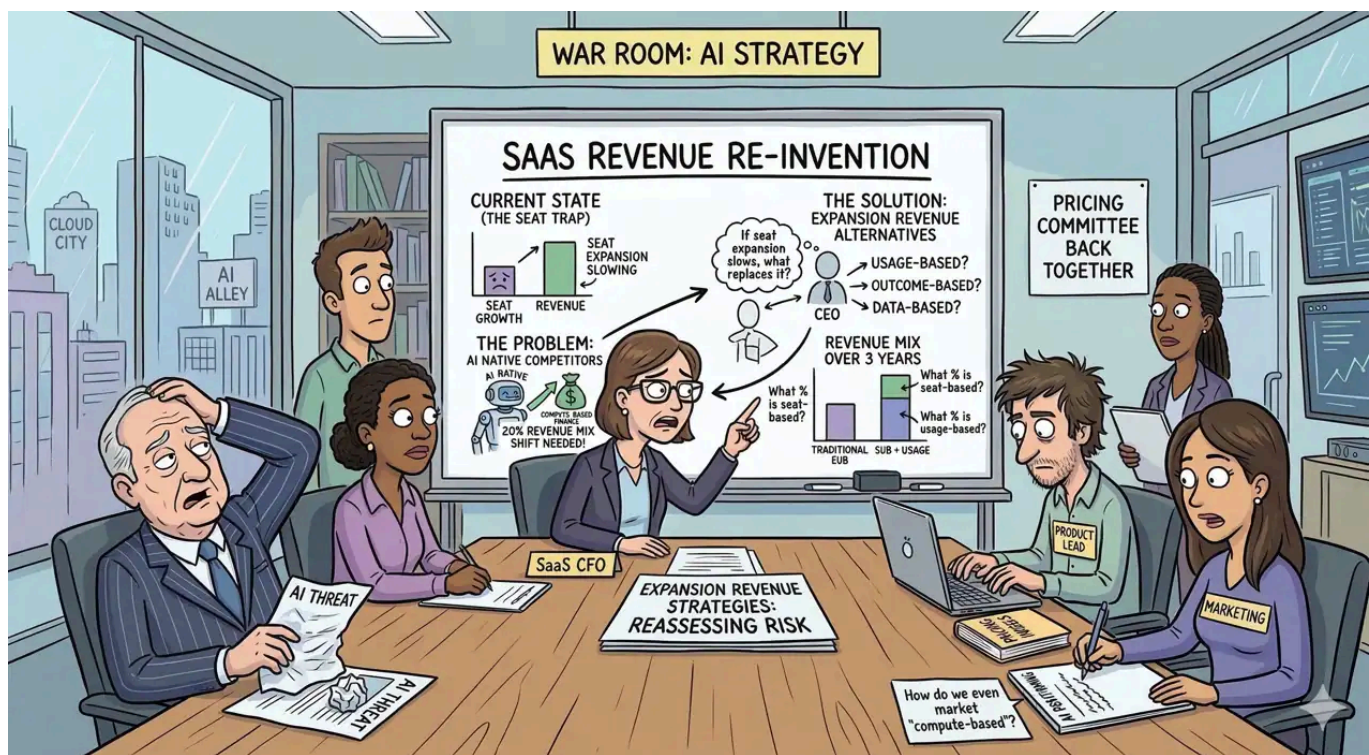
AI coding tools give every mid-market buyer a new card to play at renewal. Audit your upcoming renewal book. For each contract, ask: could this customer realistically replicate the core value of our product with AI tools in 6–12 months? If the answer is yes, your renewal is a negotiation, not a renewal.

Expansion Revenue Alternatives

If seat expansion slows, what replaces it? That's the question every SaaS CFO needs to answer before the Board asks it.

Map your revenue mix today: what percentage is seat-based, what percentage is usage-based, and what would a 20% shift in that mix mean for total revenue over three years? Even SaaS 2.0 companies with subscription and usage revenue need to reassess their risk.

Time to get the pricing committee back together.



The Defensibility Diagnostic: How Exposed Is Your SaaS?

Not all SaaS products face the same risk. I find it useful to think about this in three tiers. Let's be honest with ourselves today. Don't let your renewal rate hit you in the face first.

High Exposure — Act Now

You're in this bucket if most of these are true:

- Your core value is UI and workflow convenience, not proprietary data or deep integrations
- Pricing is 100% seat-based with no usage or outcome component
- Your product can be described in a single sentence and replicated with a weekend prompt (i.e. code a tennis court reservation management system)
- Customer data doesn't accumulate in a way that makes your product smarter over time
- You have few compliance, security, or audit requirements embedded in the product

Moderate Exposure — Monitor and Adapt

You're here if you have some defensibility but it's not airtight:

- Seat-based pricing but strong product adoption depth — users are sticky even if the model is exposed

- Some proprietary data advantage, but a determined competitor or AI agent could partially replicate it
- Mid-market customers with growing AI capability who haven't yet experimented with building alternatives
- Integrations that are useful but not mission-critical

Lower Exposure — Strengthen the Moat

You're in good shape if most of these apply:

- You own a system of record with years of accumulated customer data
- Compliance, audit, security, or regulatory requirements are core to the product — not a feature
- Switching requires significant organizational change, not just a software swap
- AI agents actually need your data context to function — they make your product more valuable, not less
- Pricing already has usage or outcome components that benefit from AI-driven adoption. But I still see a lot of AI-first companies pricing as a subscription.

The SaaS Defensibility Scorecard

How founders can evaluate whether their SaaS product is vulnerable to AI disruption.

	Proprietary Data. Does your product accumulate unique data that improves over time? Examples: financial benchmarks, CRM data, operational datasets.
	System of Record. Is your product the primary source of truth for important business data? Examples: CRM, accounting systems, HR platforms.
	Switching Costs. How painful would it be for customers to replace your software? Examples: migration difficulty, training requirements, workflow disruption.
	Workflow Integration. How deeply embedded is your product in daily operations? Examples: integrations, automation pipelines, cross-team usage.
	Regulation & Compliance. Does your product operate in a regulated environment? Examples: finance, healthcare, identity/security.

4–5 checks: Highly defensible SaaS.
2–3 checks: AI-disruption risk.
0–1 checks: High SaaS apocalypse risk.

What Founders and CFOs Should Do Now

The key question for software leaders is not whether SaaS survives. It almost certainly will. The real question is: which SaaS companies become stronger and which become vulnerable?

1. Audit your defensibility honestly

Use the diagnostic above. If your value lives primarily in workflow convenience and your pricing is fully seat-based, you are more exposed than your current metrics suggest. The time to address this is before renewal pressure shows up in the data.

2. Start modeling AI's impact on your unit economics

Run the NRR stress test. Model gross margin under variable compute costs. Build a 3-year scenario where seat expansion is flat. If those numbers still work for your business, your economics are more resilient than the headlines suggest. If they don't, you need a plan before your investors ask for one.

Perfect use case of AI in my area? I created AEGIS in softwaremetrics.ai. I can ask it to calculate my forecasted revenue if GRR drops by 2 points. Fast. No spreadsheet needed.

3. Usage or consumption pricing doesn't deflect AI competitor risk

Pure seat-based pricing is the most exposed model. However, adding usage revenue to your model doesn't protect you from AI. There is a big difference between "rate x volume" pricing and workflow pricing.

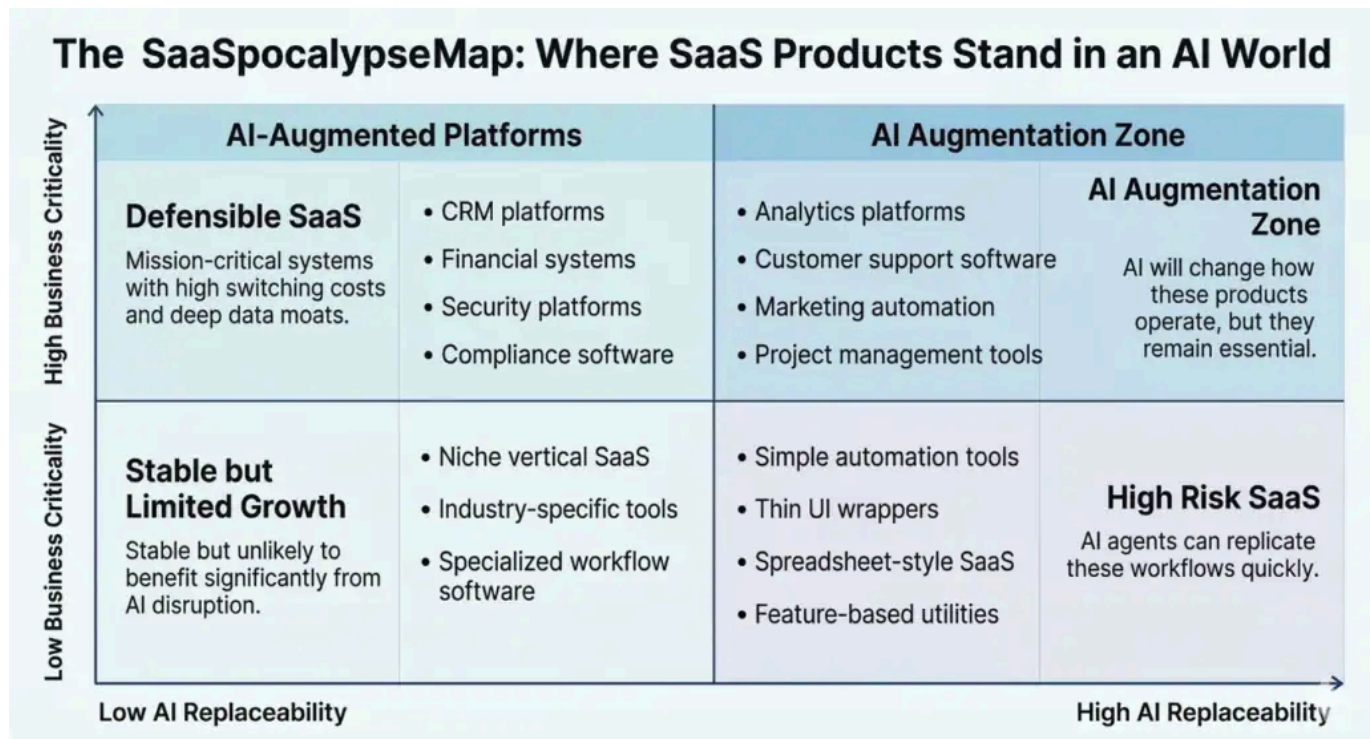
4. Double down on your data moat

If your product accumulates customer data that makes it smarter over time, lean into that. Make it more visible in your product narrative and sales process. Data moats are more durable in an AI world, not less. AI agents without proprietary context are far less valuable than those with it.[8]

I still remember my former boss (shout out to Tom) in healthcare tech telling me 20 years ago that proprietary data is the key. Some things never go out of style.

5. Embed agents before someone else does, but...

The most likely survival path for existing SaaS companies is to embed AI agent capabilities directly into their products. Quick win, but it seems like everyone is doing that today. Same product but with AI. However, has the workflow really changed?



The Bottom Line

The SaaS Apocalypse makes for dramatic headlines. But the reality is more structural.

AI is not eliminating SaaS. It is separating defensible SaaS businesses from those built primarily on workflow convenience and seat expansion.

Just like the AI wrappers were a flash in the pan, many vibe coded apps will follow the same route. You still have the challenge of distribution and scaling like any tech or non-tech company.

For founders, CEOs, and CFOs, the questions that matter aren't about survival in the abstract. They're:

- Does our value live in data and systems of record — or in UI and workflows that AI can replicate?
- What does our NRR look like if headcount at our customers is flat or shrinking?
- How does our gross margin hold up when we embed AI capabilities at scale?
- Can we shift pricing toward usage or outcomes before seat pressure arrives?

- Are we building our AI agent layer before an external agent makes our product invisible?

Because in the next decade, the winners in software won't simply be the companies with the best interfaces. They will be the companies that own the most valuable systems, data, and outcomes and price accordingly.

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Ben Murray

(https://www.thesaascfo.com/author/murray_benyahoo-com/)

I have worked in finance and accounting for 25+ years. I've been a SaaS CFO for 9+ years and began my career in the FP&A function. I hold an active Tennessee CPA license and earned my undergraduate degree from the University of Colorado at Boulder and MBA from the University of Iowa. I offer coaching, fractional CFO services, and SaaS finance courses.

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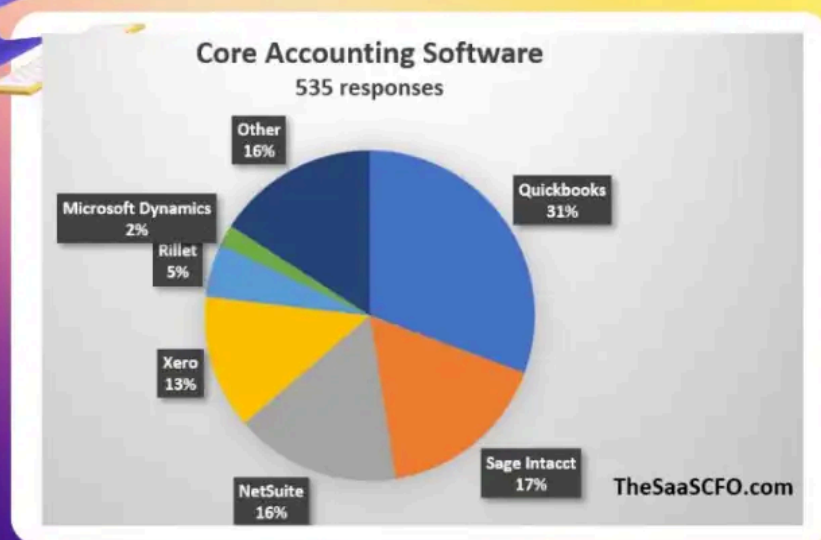
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